

MARKETING

AUDIT PROGRAM #50-20-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
April 2026	Planning	Process and Objective	Ronnie Juaño	Renamed the audit Program to Marketing. Updated the mission and objectives. Change the terminology from Sponsorships to Sports & Entertainment.
		Audit Program Risk Alignment	Ronnie Juaño	Created separate Risk Tables to clearly determine the risk areas applicable for each auditable entity covered by the Marketing audit program. Removed the low-risk area related to Education, Training, and Separation of Duties (SOD).
		Reference Material	Ronnie Juaño	Updated the reference links.
	Control Assessment Questions	Event /Program Reconciliation (EM001.P)	Ronnie Juaño	Updated the test approach to include details related to the Global Events Process (GEP).
		Disbursements (DS001.P)	Ronnie Juaño	Updated the test approach to include travel expenses.
		Event Security (EM002.P)	Ronnie Juaño	Removed section specific to Event Security as this was lumped together with the overall GEP.
		Travel Expense Accounts (DS002.P)	Ronnie Juaño	Removed section Travel Expenses and lumped together with Disbursements (DS001.P).

MARKETING AUDIT PROGRAM #50-20-00

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
February 2025	Control Assessment Questions	Content Management (CM001.P)	Ronnie Juaño	Removed DOU requirement; specify the accessibility guidelines are only for digital requests; changed Campaign Management to Content Management
	Control Assessment Questions	Events Management (EM001.P)	Ronnie Juaño	Included CEO Events as part of the Events Management universe.
	Planning	Reference Material	Ronnie Juaño	Updated the links for Procurement and Data Privacy for Marketing
	Planning	Data Analysis	Ronnie Juaño	Included CEO Events as part of the Events Management universe.
	Process and Objective	Mission	Ronnie Juaño	Updated the Consolidated Advertising terminology to Brand Advertising
November 2023	Planning	Self-Service Reports	Ronnie Juaño	Added Self-Service Reports section
May 2023	Reference Material, Event Management	EM001.P, EM002.P	Ronnie Juano	Added Innovation Studio
April 2023	Data Privacy and Data Security	DP001.P	Don Dobrzelewski	Added Privacy Testing
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

MARKETING

AUDIT PROGRAM #50-20-00

Table of Contents

PROCESS AND OBJECTIVE	4
PLANNING: Audit Program Risk Alignment.....	5
PLANNING: Data Analysis.....	6
PLANNING: Reference Material	10
PLANNING: Fraud Template.....	11
PLANNING: Self-Service Reports.....	12
CONTROL ASSESSMENT QUESTIONS	13
Key Control Question: 1. Event Management	13
Primary Test: Event /Program Reconciliation (EM001.P)	14
Key Control Question: 2. Content Management	16
Primary Test: Content Management (CM001.P)	17
Key Control Question: 3. Disbursements.....	18
Primary Test: Disbursements (DS001.P)	19
Key Control Question: 4. Supplier Management	20
Primary Test: Supplier Management (SM001.P)	21
Key Control Question: 5. Measurements.....	22
Primary Test: Measurements (MS001.P)	23
Key Control Question: 7. Data Privacy and Data Security.....	24
Primary Test: Data Privacy and Data Security (DP001.P).....	25

MARKETING

AUDIT PROGRAM #50-20-00

PROCESS AND OBJECTIVE

The Marketing organization is part of the broader Marketing, Communications, and Corporate Responsibility (MCC) group. The mission of Marketing is to deepen client engagement and elevate our brand relevance. Our approach provides a tailored, multi-touch client journey featuring C-suite executives (CXO) forums, co-innovation labs, persona-based digital campaigns, and paid and earned media - enhanced by AI-powered personalization and data-driven insights to strengthen relationships, accelerate buying decisions, and amplify our brand.

This mission is supported by four major sub-processes, each with its own distinct auditable entity:

- **Events:** responsible for the events process from planning to post events activities including supplier selection and marketing-owned events that are executed in IBM Innovation Studios.
- **Blue Studio:** provides support to IBM MCC (Marketing, Communications and CSR) in creating experiences both internally and in collaboration with a roster of external partners, depending on the scope and scale of a project.
- **Sports and Entertainment Partnerships** (previously known as Sponsorship): drives global programs designed to showcase IBM technology and consulting offerings and elevate IBM's brand awareness. Our programs drive top-of-funnel awareness and accelerate pipeline progression. We will collaborate across MCC, with a key focus on the strategic marketing priorities of Named Account marketing and Corporate Affairs and Brand to maximize impact.
- **Media:** increase IBM eminence and drive increased awareness through an audience first, end to end paid media strategy with flawless execution, experimentation, technical innovation, and optimization for maximum outcomes. The objective is to drive IBM revenue growth by increasing AI relevancy, product consideration, qualified traffic and engagement.

These areas are not in scope of the Marketing auditable unit:

- Innovation Studio Sales-led events (the Sales Organization is accountable for the CTEBA process).
- Co-marketing program expenses are not part of the Marketing auditable unit (this is covered in IBM Partner Ecosystem process).

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Audit Program Risk Alignment

Events / Sports and Entertainment Partnerships

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Events Management	High	Event Management	EM001.P
Disbursements	Medium	Disbursements	DS001.P
Supplier Management	Medium	Supplier Management	SM001.P
Data Privacy and Protection	Medium	Data Privacy and Data Security	DP001.P
Measurements	Medium	Measurements	MS001.P

Blue Studio

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Content Management	High	Content Management	CM001.P
Disbursements	Medium	Disbursements	DS001.P
Supplier Management	Medium	Supplier Management	SM001.P
Data Privacy and Protection	Medium	Data Privacy and Data Security	DP001.P
Measurements	Medium	Measurements	MS001.P

Media

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Disbursements	Medium	Disbursements	DS001.P
Supplier Management	Medium	Supplier Management	SM001.P
Data Privacy and Protection	Medium	Data Privacy and Data Security	DP001.P
Measurements	Medium	Measurements	MS001.P

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Concern
Events Management List of all closed events (including CEO events) during the audit period, including: - Budget approval for programs - Event reconciliation documents	Select a sample of events performed during the audit period to determine if: - There was a process in place to reconcile event financial information. - Expenses were properly identified to the event and recorded in correct ledger accounts (reconciliation at program level). - If budget was assigned at event level, whether variances to budget were properly identified and adjusted. - If post event reconciliation was performed on a timely basis (within 90 days after close date) and action plans, if applicable, were reported and took. - CTEBA requirements were timely fulfilled, required approvals were in place, and Confirmation Letters were timely sent. - If appropriate, were security measures in place at events held at non-IBM locations to ensure safety of IBM employees, guests, and safeguard assets.	Expenses incurred in events not properly reconciled and reviewed could lead to financial loss, unauthorized payments and pose an environment where fraud could remain undetected. Lack of controls on CTEBA requirements could expose IBM to fines and could also expose IBM image and reputation. Inadequate security measures for events held at non-IBM locations could jeopardize the safety of attendees and expose IBM assets to loss, theft, or misuse.

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Concern
Supplier Management Universe of all suppliers active during the audit period, including: • Date of signed contract • Whether suppliers had contracts in place or were PO driven	For supplier performance validate if: • Supplier requirements were properly and timely communicated to Procurement (where applicable). • Suppliers' performance achieved expected commitments (if applicable). • Specifically for non-PO suppliers, validate that appropriate approvals were in place prior to supplier selection and payment. • Validate that the procurement process was followed.	Failures in performance evaluation and monitoring could result in work being performed below standards required by IBM, financial loss, and affect IBM image. Bypasses to the procurement process could result in financial loss and could also expose IBM image and reputation.
Disbursements A list of all disbursements/payments made during the audit period should be provided for analysis. Universe of all credit notes related to disbursements or payments made during the audit period.	Review a sample of disbursements/ PO payments to validate: • If an independent verification of goods or services was performed. • Whether price and quantity matched commitment included in scope of work. • In cases PO payments exceeded PO commitments, verify that activity is tracked and reconciled. Verify if marketing supplier has commenced any projects with no supporting PO. Select a sample of credits to ensure: • Reason for the credit was properly and timely analyzed by the Marketing organization.	Insufficient evidence to support goods/services were received and lack of necessary approvals were obtained could lead to unauthorized payments and financial losses. Lack of reconciliation, supporting documentation, and validation of actual spent at completion of project by the IBM Marketing staff and marketing agency accounts executive could result in financial losses, and improper use of budget.

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Concern
Content Management Universe of all requests submitted to the Blue Studio team logged within Airtable.	Identify a sample of a request which yet to be started to ensure monitoring and review of new requests is in place. Select a sample of in-progress requests to validate if there is a monitoring in place to ensure the request is within the project schedule. Select a sample of completed requests to validate: • If there was a review performed to determine if the work can be done internally or externally through external vendor. • Was the content reviewed to ensure it adhered to marketing legal guidance and accessibility guidance? • If the request was funded by a non-marketing organization, was there a DOU in place to document roles and responsibilities, funding approvals. Also, were the expenses related to the content charged to the funding organization timely and accurately, if applicable? NOTE: Check for any local regulations applicable to content marketing for the country/region being audited.	Lack of monitoring of the requests could lead to sub-optimal resource allocation and opportunity loss. Also, lack of review against legal and accessibility guidance could lead to potential regulatory non-compliance, litigation against IBM, and negative impact to IBM's image. Ineffective controls over requests to be performed by a supplier could lead to infringement of IBM's intellectual property rights, financial loss, unauthorized commitment, and could also expose IBM image and reputation. This could also lead to supplier dissatisfaction.

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Concern
Measurements List of all key measurements reported by management (including MSA - management self-assessment).	Review a sample of key measurements to ensure: • The measurement creation methodology being utilized is appropriate. • The information within each report is accurate. • A root cause analysis is being performed for all key issues and the appropriate action plans are in place. • Management is properly reviewing the reports.	Inaccurate or incomplete measurements could hinder management's ability to make key decisions. This could lead to sub-optimal resource allocations, budget overages, or inappropriate activity from being detected.
Data Privacy and Security	For all risk area tested, review if IBM assets, sensitive personal information, and customer proprietary information, if applicable, were properly protected.	The failure to protect IBM Confidential and other sensitive information could result in the loss of competitive advantage through the release of proprietary information. It could also result in embarrassment (damage to IBM reputation), legal action against IBM and certain liabilities (i.e., penalties) if information of a sensitive or personal nature is released without authorization.

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Reference Material

Accounting Practice:

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>

IBM Organization Instruction Letters:

FIN168 - Business Amenities and Gifts

<https://w3.ibm.com/ibm/corporate-documents/leg/leg-168-fin-168>

FIN101 - Control of Disbursements

<https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>

Other Related Corporate Instructions:

IPL106 Receipt and Disclosure of Confidential Information

<https://w3.ibm.com/ibm/corporate-documents/ipl/ipl-106>

PROC167 Supplier and Sourced Goods

<https://w3.ibm.com/ibm/corporate-documents/proc/proc-167>

HR113 – Protection of Employee Information

<https://w3.ibm.com/ibm/corporate-documents/hr/hr-113>

CTEBA

<https://w3.ibm.com/w3publisher/cteba>

Process-related Links:

Marketing and Communications Homepage

<https://w3.ibm.com/w3publisher/the-new-c-c-and-marketing-team>

Event Marketing

<https://w3.ibm.com/w3publisher/events>

Blue Studio

<https://w3.ibm.com/w3publisher/ibm-c-c-and-marketing-team-center/blue-studio>

Innovation Studio

<https://w3.ibm.com/w3publisher/innovation-studio>

Data Privacy @ IBM Marketing

<https://w3.ibm.com/w3publisher/mcc-dait>

Legal @ IBM Marketing

<https://w3.ibm.com/w3publisher/legal-marketing-community>

IBM Accessibility Homepage

<https://www.ibm.com/able/>

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and results in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Improper use of IBM budget for events	Program/Event reconciliation and PO tracking and monitoring	Test if reconciliation was performed on time and ensure PO are used as intended.
GOE customers invited to event without previous CTEBA control (for restricted attendance only)	GOE customers must have been approved previously to event participation	Test if approvals were granted before the event start date.
Unauthorized use of supplier/ Procurement bypasses	Suppliers must be approved before being contracted	Test if Procurement was involved in supplier selection and contracting

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

Additionally, financial reconciliation could be done at a program level instead of at an event level.

MARKETING AUDIT PROGRAM #50-20-00

PLANNING: Self-Service Reports

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional Materials to download information and applying for access to the source tool
• Management Self-Assessment (MSA) • Risk Assessments/Acceptances	https://ibm.ent.box.com/file/1377289634194

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Event Management

Objective:

Have controls been effective to ensure that IBM Confidential and other sensitive information have been identified and appropriately safeguarded? Were security measures in place at events held at non-IBM locations adequate to ensure the safety of IBM employees and guests, and to safeguard assets?

Risk/Exposure:

The failure to protect IBM Confidential and other sensitive information could result in the loss of competitive advantage through the release of proprietary information. It could also result in embarrassment and certain liabilities if information of a sensitive or personal nature is released without authorization.

Inadequate security measures for events held at non-IBM locations could jeopardize the safety of attendees and expose IBM assets to loss, theft, or misuse.

MARKETING

AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Event Management

Primary Test: Event /Program Reconciliation (EM001.P)

Objective:

To determine whether an effective process existed to ensure that expenses incurred in an event/program, were accurate, proper and within budget. The event/program reconciliation should be performed, and action plans reported and taken, if applicable, after the event end date (within 90 days after close date)

Approach:

Request a list of closed events for the audit period (including CEO events), request previous budget approval and ask for the event reconciliation documents and test if:

1. Did the event adhere to the Global Events Process (GEP)?
 - a. Event Planning – the event planning phase includes any activities that are required to plan and set up an event within IBM Marketing event systems and structures, starting after the event funding approval from the marketing plan review board and continuing through the master project plan development.
 - b. Event Development – the event development phase starts with the creation of event strategies and includes the following activities: Event content, Contract management, Logo license agreement, Invitation and registration methods, The response and lead management plan, CTEBA approval, Invitee approval, Confirmation letters, Invitation issuance, Ticket management, Client experience, Audience generation, Data privacy requirements. The phase ends with the final event readiness checkpoint.
 - c. Event Execution – the event execution phase contains key activities to execute the event which starts with the on-site setup for an event and ends with the completion of the event. These include setting up of the event, security and safety check, on-site changes, data privacy requirements (if required), check in and onsite registration, attendee tracking, onsite CTEBA requirements.
 - d. Post-Event – includes managing attendees in order to execute the response and lead management plan, managing suppliers and third parties who supported the event execution and who will invoice IBM for their delivered products or services, invoicing process, debrief meeting, lessons learned meeting, post event evidence storing, event cost reconciliation, event measurement, and event portfolio management.
2. Did a process exist to reconcile the event/program financial information? Was this process performed after the completion of work? Was the process conducted before payment of balance? Was the reconciliation process thorough enough?
3. Were Post-Event Budget and Invoice final cost reconciliation performed?
4. Was supporting documentation on file up to date and readily available for review or audit?
5. Was there an Invoice Payment Verification & Notification (IPVN) process in place?
6. Were expenses properly identified to the event/program and recorded into the correct ledger account?
7. If budget for the event was assigned, were variances to budget properly identified and adjusted or explained on time?
8. Were there accruals to reflect invoices not received from suppliers at quarter close?
9. Was the final reconciliation or expense analysis performed on a timely basis?

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Event Management

Primary Test: Event /Program Reconciliation (EM001.P)

(Continued)

10. If actual was higher than budget, were there management review and analysis of the excess, if yes, were actions taken to avoid recurrence?
11. Were GOE (Government Owned Entities) participants approved before the event took place? (applicable for restricted attendance events only).
12. When required by FIN/LEG 168, were commercial parties approved in CTEBA prior to the event? As a reference see FIN/LEG 168 (applicable for restricted attendance events only, see reference material).
13. Did event security plans adhere to IBM guidelines, if applicable?
14. Was a CTEBA post-event reconciliation performed?
15. Verify if confirmation letters were provided to events attendees, if applicable.
16. Were amenities (i.e., tickets = entertainment) provided via the Sports & Entertainment Partnership following the existing CTEBA approval process?

NOTE: Where applicable, the activities to be reviewed should include marketing-owned events/engagements held in Innovation Studios. The IBM Innovation Studio is a function within Marketing. It is a network of studios around the world that focuses on moving its clients and ecosystem partners from inspiration to action. It is an IBM venue where engagements with clients take place to showcase IBM capabilities and solutions. Engagements can be requested and owned by IBM (IBM Sales, IBM Marketing, IBM Innovation Studio, Other IBM teams) or can be owned Externally (Business Partners, other legal entities). Engagements owned by IBM Sales organization are NOT part of Marketing auditable unit.

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Content Management

Objective:

Were there sufficient controls over the Blue Studio process to ensure content creation requests were monitored, reviewed, documented, and approved?

Risk/Exposure:

Failure to meet to adhere to the standard Blue Studio process could lead to sub-optimal resource allocation and opportunity loss (opportunity loss is related to requests not being actioned timely i.e., whether to accept or reject, or requests which were delayed without valid justification). This could also negatively impact IBM's image, potential regulatory non-compliance, and infringement of IBM's intellectual property rights.

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Content Management

Primary Test: Content Management (CM001.P)

Objective:

To ensure that all contents adhered to the Blue Studio process to ensure the required reviews (e.g., Quality Assurance) and approvals. In some cases, a Legal review may be necessary for certain type or format of contents, contents that contains guarantees, claims, etc.

Approach:

Select samples from the universe of completed contents during the audit period:

1. Was there a review performed to identify whether the request was to be performed internally or through an external agency/vendor partnership? If to be done for a vendor, ask for Airtable log document and budget approval to support the outcome/decision to involve a vendor.
2. If the request was from a non-marketing organization, were the expenses charged to the funding business unit timely and accurately, if applicable?
3. Was a project schedule established and monitored throughout the content creation process?
4. Was legal review obtained as applicable depending on the type of content?
5. Was quality assurance conducted for digital requests to check against the accessibility guidelines?
6. If third party vendors were used for content creation, was there a process in place to ensure the third party was acting according to the terms and conditions of the contract or agreement?
7. Was there a content management review to monitor status of all requests?
8. Was there a management review for tracking spending against budget?

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Disbursements

Objective:

Are disbursements in compliance with the supplier contract, valid, verified, approved, and paid in a timely manner? If applicable, are employee expense reimbursements reasonable, adequately documented, and approved?

Risk/Exposure:

Financial loss may result if disbursements are not in compliance with contract terms and conditions, valid, verified, approved, and paid in a timely manner.

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Disbursements

Primary Test: Disbursements (DS001.P)

Objective:

To ensure that disbursements are in compliance with the supplier contract, and they are valid, verified, approved, and paid in a timely manner.

Approach:

Select a sample of disbursements against the contracts selected in the "Contract Management (CM01.P)" and test against the following criteria:

1. Was there a verification of goods or services performed?
2. Did the price and quantity match commitment information from the scope of work?
3. PO payments - Are payments exceeding PO commitments? Is there evidence that this activity is being tracked and reconciled?
4. Select a sample of credits and ensure that the credit was properly applied.
5. Verify through supplier invoices that goods/services were provided after PO was released or contract was signed.
6. Review the existence of "parked funds" (i.e., leftover funds left with the supplier for use on a future project). All excess funds should be returned. Make sure if any, leftover funds are not credited to future projects and verify they are returned promptly.
7. Were travel expenses managed by the CEO Events team and approved within the agreed budget, in line with IBM policies where applicable?

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Supplier Management

Objective:

Do controls over the supplier management process protect IBM's interests and ensure that IBM receives the best value?

Risk/Exposure:

Failure to properly control the management of suppliers can create excess expenditures, supplier relations exposures, and can lead to fraud.

MARKETING

AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Supplier Management

Primary Test: Supplier Management (SM001.P)

Objective:

To ensure that all activities are in compliance with procurement rules related to supplier management process in order to protect IBM's interests and ensure that goods and services are procured at the best value for IBM. Also, are suppliers being reviewed against service level agreements if there were any.

Approach:

For the sample selected, test against the following criteria:

1. Was the Procurement organization formally and timely involved in the supplier selection process for newly onboarded suppliers?
2. Was there a commitment to the new supplier prior to the completion of the supplier selection process?
3. Were appropriate approvals in place prior to supplier selection and payment for non-PO suppliers, if applicable?
4. Were Procurement requirements followed? Were billing and payment terms agreed in SOW followed?
5. Was supplier performance measured against service level agreements, if applicable?

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Measurements

Objective:

Are measurements in place and functioning to provide management visibility to process performance? Additionally, is there an effective process for measuring customer satisfaction with the services provided?

Risk/Exposure:

Failure to meet process performance targets decreases IBM's ability to provide high-quality, low-cost products and services to our customers. Additionally, the absence of a good internal measurement system creates the environment for fraud to occur and could lead to excessive expenditures.

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Measurements

Primary Test: Measurements (MS001.P)

Objective:

To determine if measurements are in place and functioning which provide management visibility to process performance.

Approach:

Review supplier performance measurement reporting for the following:

1. Is the methodology used for measuring the process aligned with the process objective?
2. Is data used for calculations reliable?
3. Is a root cause for each key issue identified and are action plans in place?
4. Is management properly reviewing the reports?

MARKETING AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Data Privacy and Data Security

Objective:

IBM assets, sensitive personal information, and customer proprietary information, if applicable, were properly protected.

Risk/Exposure:

Failure to properly protect information and assets from unauthorized usage or access.

MARKETING

AUDIT PROGRAM #50-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Data Privacy and Data Security

Primary Test: Data Privacy and Data Security (DP001.P)

Objective:

IBM assets, sensitive personal information, and customer proprietary information, if applicable, were properly protected.

Approach:

For all risk areas tested:

1. Review if IBM assets, sensitive personal information, and customer proprietary information, if applicable, were properly protected.
2. Were the applicable data privacy guidelines for Marketing adhered to?

Test: Privacy

Objective:

Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions are composed with two key areas of the business to help address compliance with these various high-level laws.

- **IBM as a Controller** – The Enterprise Privacy Baseline – Controller establishes the high-level requirements that IBM must meet when acting as a Controller of Personal Information (PI). That is, PI that IBM collects and processes for its own purposes, such as Business Contact Information that IBM holds on its existing or potential customers or suppliers.
- **IBM as a Processor** – The Enterprise Privacy Baseline – Processor establishes the principles and requirements that IBM must meet when acting as a Processor of Client Personal Information (PI) and applies to all products, offerings, and services (including their components) that IBM provides to Clients, regardless of whether IBM develops or re-brands them, or provides them for a fee or on a beta, trial, or no-charge basis.

Approach:

Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

Testing:

IBM as Controller

If IBM is Controller, request a risk-based sample of Global Privacy Assessments for the processes and/or assets. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198251968388>

IBM as Processor

If IBM is Processor, select a sample of products/offerings/services provided for the in-scope activities. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198263127550>

IBM as both Controller and Processor

Test either IBM as Controller or Processor, do not test both. Consider the volume and sensitivity of the controller and processor data and select the higher risk.